

Veritas Bank

Analyzing Customer Churn and Retention Patterns in a UK-Based Multinational Retail Bank

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Company Overview

Veritas Bank is a UK-headquartered retail bank established in the 1990s. With its head office in London, the bank holds a strategic position with major operations across the UK, Germany, and France, tailoring its approach to meet local regulatory and customer behavior requirements in each region.

Over the past two decades, Veritas bank has grown its customer base to over 3 million, focusing on core retail offerings such as savings accounts, personal loans, debit/credit card services, and online banking.

Business Problem/ Project Aim

Veritas Bank is facing increased customer churn from its users. Retaining customers has become a growing challenge due to:

- ❑ Intense competition from neobanks and fintech startups
- ❑ Perceived decrease in customer engagement in Germany and France
- ❑ Lack of targeted retention strategies based on behavioral insights

The absence of real-time churn monitoring and customer segmentation has made it difficult for the business to respond proactively.

This Project aims to:

- ❑ Identify common characteristics among customers who have churned.
- ❑ Compare account behavior across the UK, Germany, and France.
- ❑ Segment customers based on risk profiles and account usage.
- ❑ Visualize key churn metrics via interactive dashboards for better decision-making.



Customer Demographic Analysis Overview

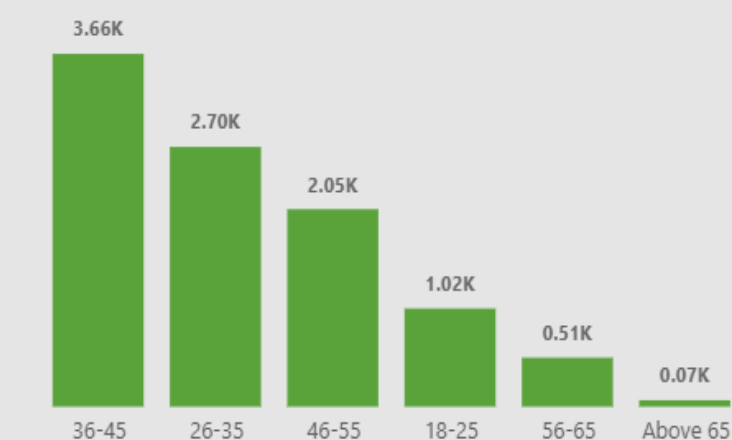
The customer demographic analysis explores patterns and trends within our customer data to reveal the characteristics of our customers. By examining variables such as age, geography, and balance distribution, this report helps identify the key segments driving growth and those with higher churn risk.

The KPIs generated for the analysis are as below:



Customer Demographic Analysis

Total Customers by AgeGroup



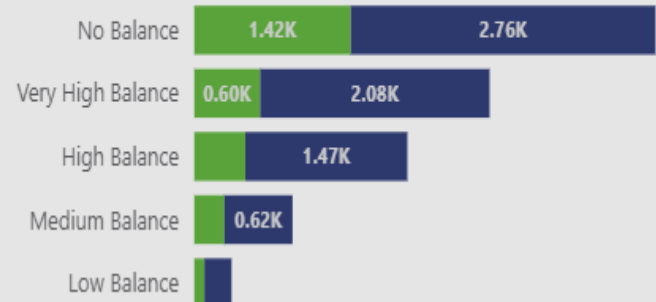
```
SELECT
    count(CustomerId) AS TotalCustomers,
    AgeGroup
FROM CustomerInfo
GROUP BY AgeGroup
ORDER BY TotalCustomers DESC;
```

The majority of the customers are in the 36–45 age group (3.66K), followed by the 26 - 35 group (2.70K).

Customer numbers decline sharply after age 45, with very few customers above 65 (0.07K).

Total Customers by BalanceSegment and CreditCard

CreditCard ● No ● Yes



```
-- Total Customers by Balance Segment & Credit Card
SELECT
    COUNT(C.CustomerId) AS TotalCustomers,
    A.BalanceSegment,
    A.CreditCard
FROM CustomerInfo C
JOIN AccountInfo A on C.CustomerId = A.CustomerId
GROUP BY A.BalanceSegment, A.CreditCard
ORDER BY A.BalanceSegment, A.CreditCard;
```

Overall, a higher percentage of customers have credit cards.

Most customers without a balance (2.76K) have credit cards, while fewer non credit-card holders exist in this group (1.42K).

Higher balance segments (“Very High” and “High”) are dominated by credit card holders, suggesting strong credit engagement among financially active customers.

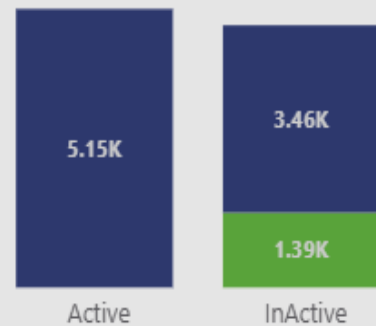
“Low Balance” and “Medium Balance” segments show minimal customer volume overall.



Customer Demographic Analysis Cont.

Total Customers by Exited & ActiveMember

Exited ● Disengaged ● Existing



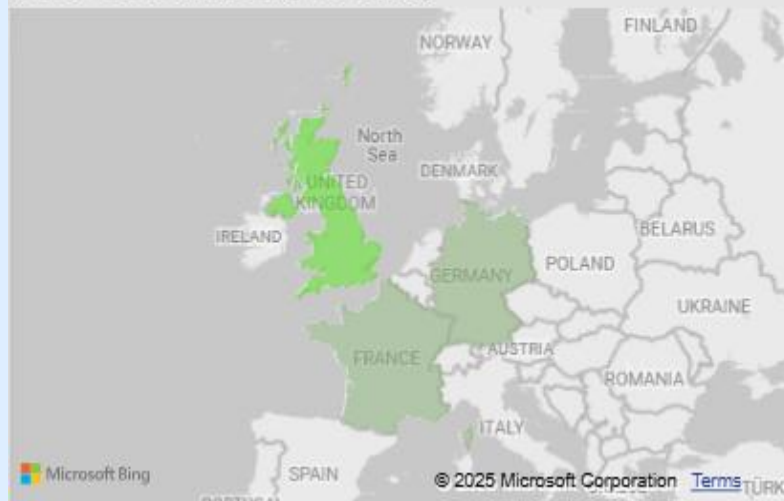
-- Total Customers by Exited & ActiveMember Status

```
SELECT  
    COUNT(C.CustomerId) AS TotalCustomers,  
    A.Exited,  
    A.ActiveMember  
FROM CustomerInfo C  
JOIN AccountInfo A on C.CustomerId = A.CustomerId  
GROUP BY A.Exited, A.ActiveMember  
ORDER BY ActiveMember;
```

Among active members, all customers are existing customers, showing strong engagement.

Among inactive members, 1.39K are disengaged (have exited), while 3.46K remain existing indicating a potential churn risk if inactivity continues.

Total Customers by Country



-- Total Customers by Country

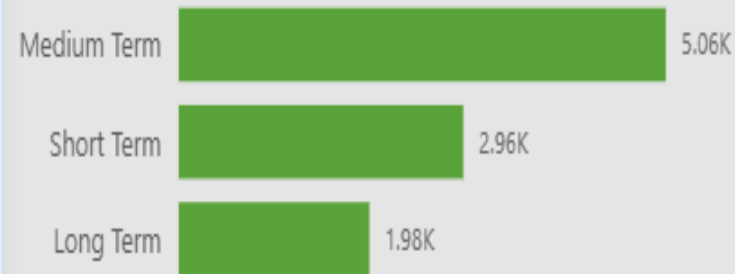
```
SELECT  
    COUNT(CustomerId) AS TotalCustomers,  
    Country  
FROM CustomerInfo  
GROUP BY Country  
ORDER BY TotalCustomers DESC;
```

United Kingdom has the most number of customers (5K) followed by Germany with 2.5K customers. France follows closely with 2.4K customers



Customer Demographic Analysis Cont.

Total Customers by TenureSegment



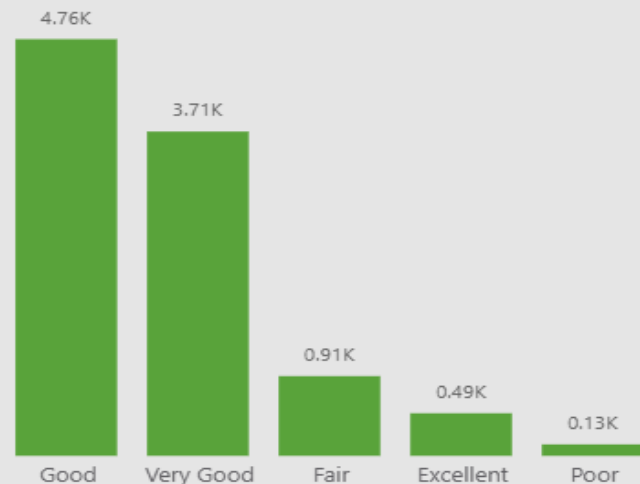
-- Total Customers by TenureSegment

```
SELECT  
    COUNT(C.CustomerId) AS TotalCustomers,  
    A.TenureSegment  
FROM CustomerInfo C  
JOIN AccountInfo A on C.CustomerId = A.CustomerId  
GROUP BY A.TenureSegment  
ORDER BY TotalCustomers DESC;
```

- ❑ Customers between 0 and 3 years are classed as short term customers
- ❑ Customers up to 7 years are classed as medium-term customers
- ❑ Customers above 7 years are classed as long term.

Veritas bank has most customers within the medium-term range (above 3 and up to 7 years) followed by short term customers. Veritas bank has the least number of customers being in the long-term range

Total Customers by CreditRatings



-- Total Customers by Credit Ratings

```
SELECT  
    COUNT(C.CustomerId) AS TotalCustomers,  
    A.CreditRatings  
FROM CustomerInfo C  
JOIN AccountInfo A on A.CustomerId = C.CustomerId  
GROUP BY A.CreditRatings  
ORDER BY TotalCustomers DESC;
```

Credit Ratings Based on Equifax:

- 0 to 438 - Poor
- 439 to 530 - Fair
- 531 to 670 - Good
- 671 to 810 - Very Good
- 811 to 1000 - Excellent

Veritas Bank has most of the customers falling in the category of Good Credit ratings, followed by very good which may mean the customer base are largely credit worthy. Only 131 of customers has poor ratings



Recommendations

- ❑ Develop age-specific engagement strategies for older customers (46+), such as simplified digital experiences or loyalty programs, to increase retention and growth in these underrepresented segments.
- ❑ Introduce premium offers or loyalty programs for “High” and “Very High Balance” customers, as they represent high-value individuals with credit engagement potential.
- ❑ Seek customers feedback and launch reactivation campaigns (e.g., targeted offers or personalized outreach) for inactive members to prevent further disengagement.
- ❑ Maintain engagement programs (like rewards, gamification, or exclusive benefits) for active members to sustain loyalty and reduce churn rates.
- ❑ Develop tiered membership or incentive systems that reward tenure milestones to encourage longer term tenures among customers.
- ❑ Focus retention programs (e.g., loyalty rewards, personalized offers) on Medium-Term customers to convert them into long-term ones.



Customer Churn Analysis Overview

This analysis explores customer churn; the rate at which customers stop engaging or leave our business.

Understanding churn is critical for maintaining growth and profitability. By identifying patterns and key drivers behind customer attrition, we can strengthen our retention strategies, improve customer experience, and target at-risk segments before they leave.

The KPIs generated for the customer churn analysis are as below:

Total Balance

£272M

Churn Rate

13.9%

No. of Countries

3

%Inactive

48.5%

High Value Customers

4.6K

Total Customers

10.0K



Customer Churn Analysis

Total ExitedCustomers & InActiveMembers by BalanceSegment

● Total Exited Customers ● Total InActiveMembers



-- Total Exited Customers & InactiveMembers by Balance Segment

SELECT

BalanceSegment,

SUM(CASE WHEN Exited = 'Disengaged' THEN 1 ELSE 0 END) AS TotalExited,

SUM(CASE WHEN ActiveMember = 'Inactive' THEN 1 ELSE 0 END) AS TotalInactiveMembers

FROM AccountInfo AS A

GROUP BY BalanceSegment

ORDER BY BalanceSegment;

Balance Segment:

Where Balance = 0, No Balance

Between 0 and 10,000 = Low Balance

Between 10000 and 30000 =Medium Balance

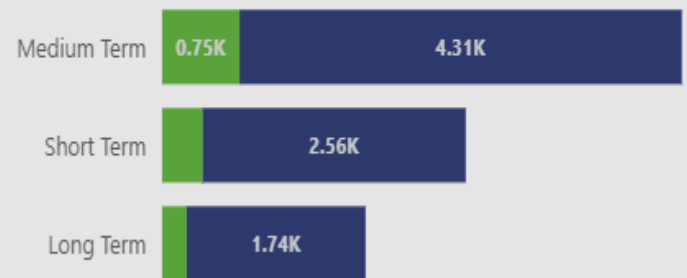
Between 30000 and 50000 = High Balance

Above 50000 = Very High Balance

“No Balance” Segment is most volatile: The “No Balance” segment has the highest numbers for both Total Exited Customers (0.8K) and Total Inactive Members (2.2K). This segment accounts for a significant portion of both churn and inactivity.

Total Exited Customers by TenureSegment

Exited ● Disengaged ● Existing



-- Total Exited Customers by Tenure Segment

SELECT

TenureSegment,

Exited,

COUNT(CustomerId) AS TotalExitedCustomers

FROM AccountInfo

GROUP BY TenureSegment, Exited

ORDER BY TenureSegment;

This compares the exited and existing customers over the tenure segments. Overall, there are more existing customers than exited customers over the tenure segments.

There is a total of 1,385 out of 10K customers who have exited.

Medium-Term Customers Show Highest Exit Rate: Customers in the Medium-Term segment ie: between 3 and 7 years have the highest total number of "Exited" (754) with long term customers having the least (238).



Customer Churn Analysis Cont.

Total InactiveCustomers by CreditRatings

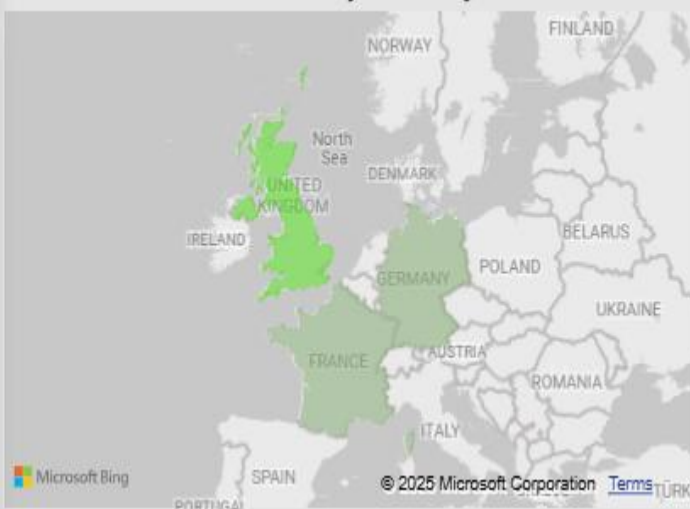


```
-- Total Inactive Customers by Credit Ratings
SELECT
    CreditRatings,
    COUNT(*) AS TotalInactiveCustomers
FROM AccountInfo
WHERE ActiveMember = 'Inactive'
GROUP BY CreditRatings
ORDER BY CreditRatings;
```

Credit Ratings and Inactivity: The majority of Inactive Customers are concentrated in the Good (2.3K) and Very Good (1.8K) credit ratings. This means a significant number of customers with good financial profiles are not actively engaging.

Low-Risk Inactivity is Minimal: Customers with Poor (0.1K) and Excellent (0.2K) credit ratings account for the fewest inactive customers.

Total Exited Customers by Country

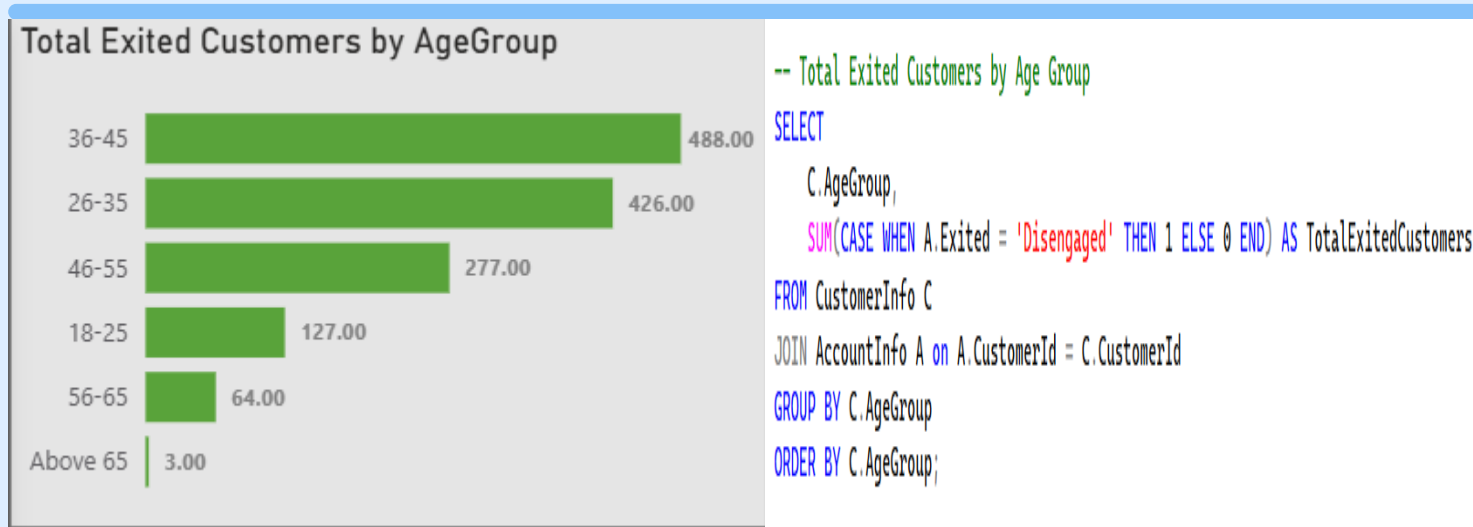


```
-- Total Exited Customers by Country
SELECT
    C.Country,
    A.Exited,
    COUNT(C.CustomerId) AS TotalExitedCustomers
FROM AccountInfo A
JOIN CustomerInfo C on C.CustomerId = A.CustomerId
WHERE A.Exited = 'Disengaged'
GROUP BY C.Country, A.Exited
ORDER BY A.Exited;
```

United Kingdom records the highest number of exited customers with a total of 498. This is followed by Germany with a total of 453 and France with a total of 434.



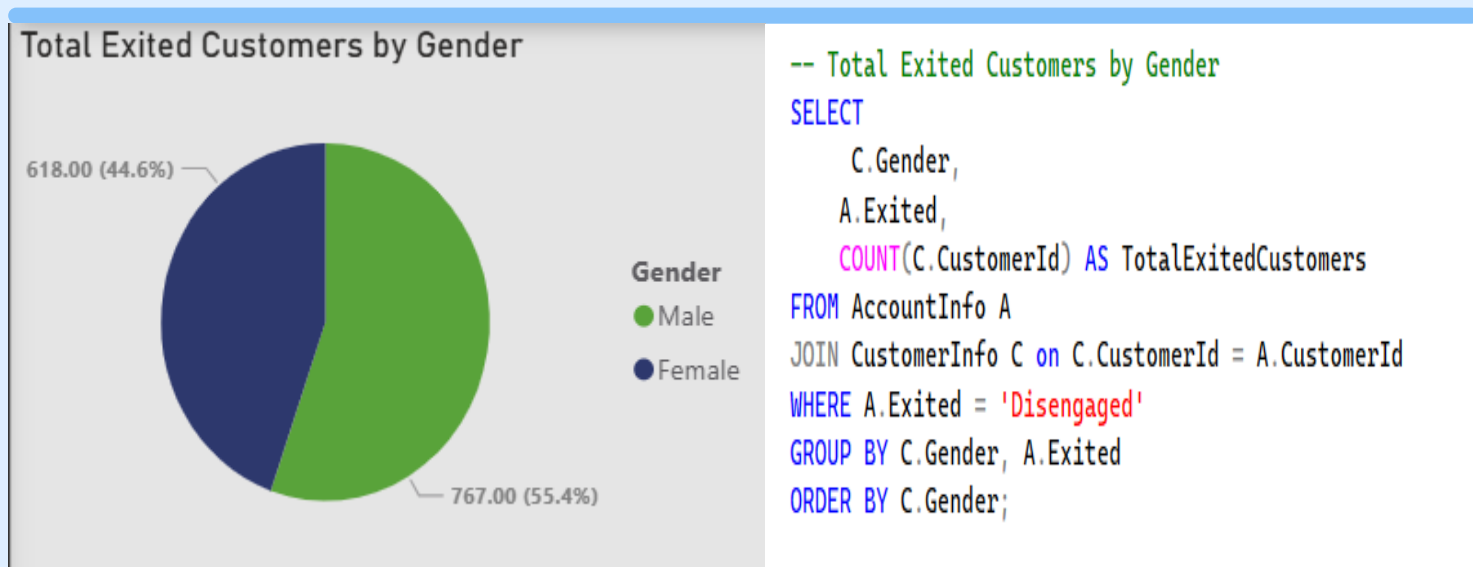
Customer Churn Analysis Cont.



Peak Churn exists between the 36-45 age group as this accounts for the highest number of exited customers (488), closely followed by the 26-35 age group (426).

Focus on Working-Age Customers: The combined churn from the 26-45 age groups (914 customers) is significantly higher than all other groups combined (471).

Churn is substantially lower for the youngest (18-25) and oldest (56-65 and Above 65) segments.



Male customers account for the majority of exits (55.4% or 767 customers), compared to Female customers (44.6% or 618 customers).

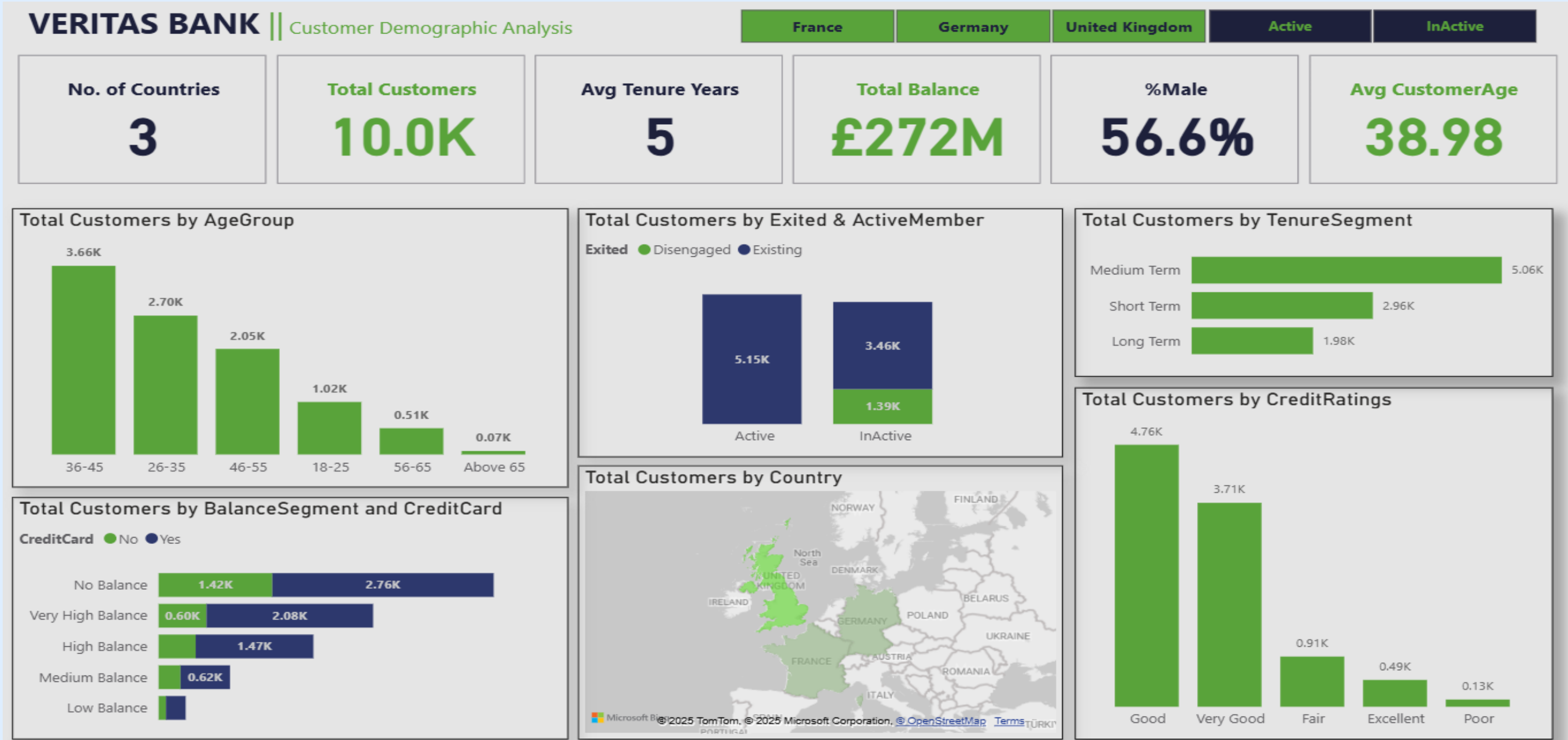


Recommendation

- ❑ **Targeted Retention Campaigns:** Implement a proactive retention program specifically for Medium Term customers as they contribute the highest absolute number to churn.
- ❑ **Incentivize Balance:** The "No Balance" segment is a major contributor to both exits and inactivity. Introduce incentives for these customers to hold a minimum balance, such as offering a higher interest rate, free services, or a small cash bonus for maintaining a balance above zero for three months.
- ❑ **Convert Inactives:** Given the large number of Inactive Members across all balance segments, the primary goal should be converting these customers into active members. However, focus should first be on the segments with high balances ("Very High" and "High Balance"), as their inactivity represents the highest potential revenue loss.
- ❑ **Focus on the 26-45 Cohort:** Since customers in the 26-45 age bracket represent the highest churn risk, develop tailored value propositions for this demographic. These individuals are typically busy professionals, homeowners, or parents, so solutions should focus on convenience.
- ❑ **Gender-Specific Actions:** Implement a survey to understand the difference in service usage between male and females and to understand the reason for the higher churn rate among men.



Dashboard 1



Dashboard 2

VERITAS BANK || Customer Churn Analysis

France

Germany

United Kingdom

Active

InActive

No. of Countries

3

Total Customers

10.0K

High Value Customers

4.6K

%Inactive

48.5%

Total Balance

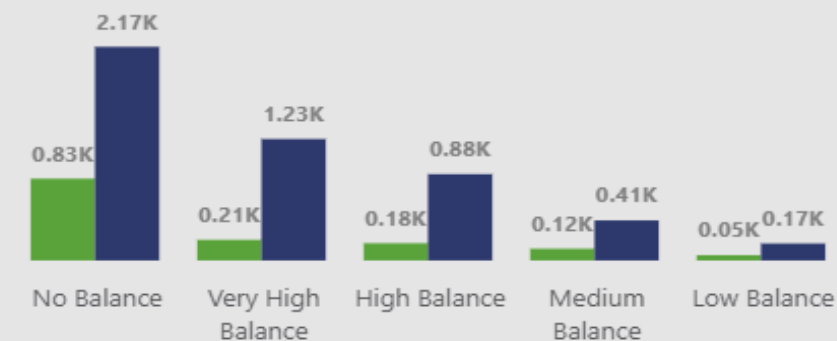
£272M

Churn Rate

13.9%

Total Exited Customers & InActiveMembers by BalanceSegment

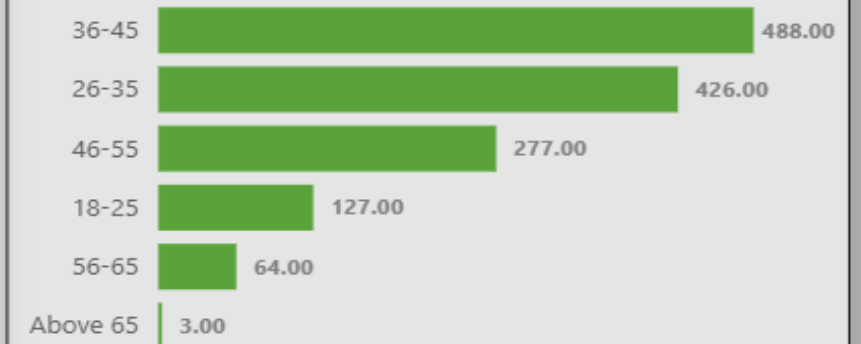
● Total Exited Customers ● Total InActiveMembers



Total InactiveCustomers by CreditRatings

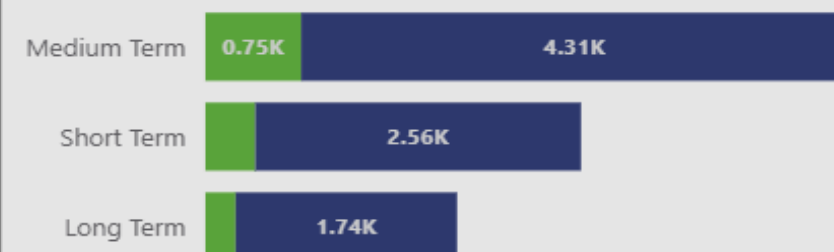


Total Exited Customers by AgeGroup

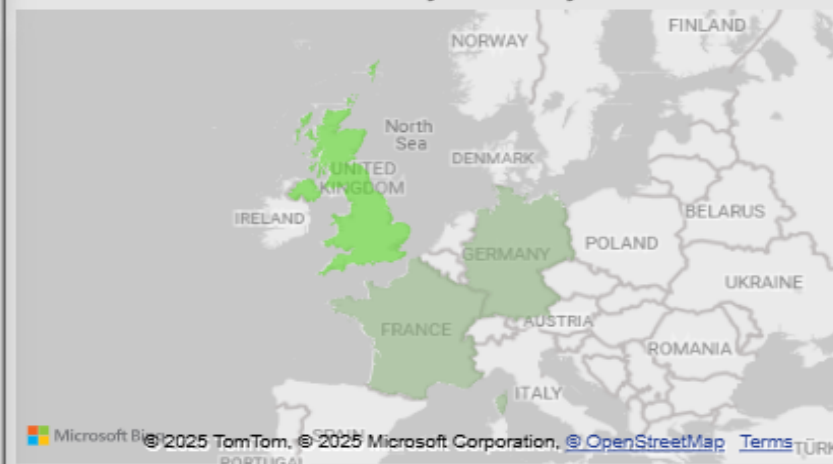


Total Exited Customers by TenureSegment

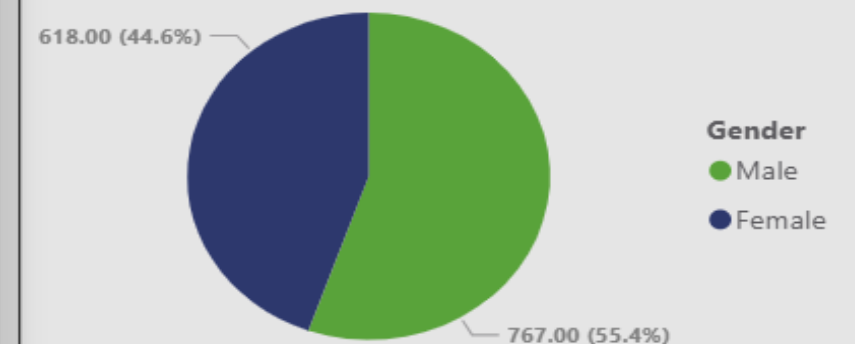
Exited ● Disengaged ● Existing



Total Exited Customers by Country



Total Exited Customers by Gender



THANK YOU

